The reduction in share of advanced economies, particularly from 2005, has been accentuated by the slowdown that followed the 'sub-prime crisis' in the United States, the eurozone crisis in 2010, and the near stagnation in Japan for nearly two decades on the one side and the significantly higher rate of growth in low and middle income countries, particularly the large countries like India and China, on the other.

From the perspective of whether there has been a 'catch up' (or convergence) in per capita incomes across a larger set of countries, it is seen that the standard deviation of per capita income (at PPP constant 2005 dollars) of 131 countries from 1980 to 2009 continued to increase for most of the period since the mid-1980s (indicating divergence rather than convergence), except in the last two-three years[8]. This indicates that despite a reduction in the share of advanced countries, the inequity between the developed and developing countries might have increased for most of the time period. Whether the recent reduction in standard deviation is associated with the 'catching up' process of countries (including low income countries), or a slowing down of developed countries following the financial and economic crisis, and whether this is likely to be a temporary phase are issues that need further investigation.

The foregoing dimension of ***inequality*** does not capture interpersonal inequality. According to a study based on consumption data undertaken by Branco Milanovic of the World Bank, global inequality has been quite high, with the bottom 50 per cent of the people accounting for only 6.6 per cent of world income/consumption on PPP basis in 2005 while the top 1 per cent accounted for 13.4 per cent and top 10 per cent for as much as 55 per cent.

As far as **India** is concerned, it has achieved faster growth from the 1980s. Not only was this growth higher compared to its own past, it was also much faster than that achieved by a large number of countries. Between 1980 and 2010, India achieved a growth of 6.2 per cent, while the world as a whole registered a growth rate of 3.3 per cent. As a result, India's share in global GDP, (measured in terms of constant 2005 PPP international dollars) more than doubled from 2.5 per cent in 1980 to **5.5** per cent in 2010. Consequently, India's rank in per capita GDP showed an improvement from 117 in 1990 to 101 in 2000 and further to 94 in 2009, out of 131 countries. China improved its rank from 127 to 74 during the same period. Underlying